



NASDAQ: RDUS

Financial Results

First Quarter Fiscal Year 2025

January 8, 2025

Where change begins

Safe Harbor

Statements and information included in this presentation by Radius Recycling, Inc. that are not purely historical are forward-looking statements within the meaning of Section 21E of the Securities Exchange Act of 1934 and are made pursuant to the “safe harbor” provisions of the Private Securities Litigation Reform Act of 1995. Except as noted herein or as the context may otherwise require, all references in this presentation to “we,” “our,” “us,” “the Company,” “Radius Recycling,” and “Radius” refer to Radius Recycling, Inc. and its consolidated subsidiaries. Forward-looking statements in this presentation include statements regarding future events or our expectations, intentions, beliefs, and strategies regarding the future, which may include statements regarding proceeds from asset monetization activities, the impact of equipment upgrades, equipment failures, and facility damage on production, including timing of repairs and resumption of operations; the realization of insurance recoveries; the Company’s outlook, growth initiatives, or expected results or objectives, including pricing, margins, volumes, and profitability; completion of acquisitions and integration of acquired businesses; the progression and impact of investments in processing and manufacturing technology improvements and information technology systems; the impacts of supply chain disruptions, inflation, and rising interest rates; liquidity positions; our ability to generate cash from continuing operations; trends, cyclicity, and changes in the markets we sell into; strategic direction or goals; targets; changes to manufacturing and production processes; the realization of deferred tax assets; planned capital expenditures; the cost of and the status of any agreements or actions related to our compliance with environmental and other laws; expected tax rates, deductions, and credits; the impact of sanctions and tariffs, quotas, and other trade actions and import restrictions; the impact of pandemics, epidemics, or other public health emergencies; the impact of labor shortages or increased labor costs; obligations under our retirement plans; benefits, savings, or additional costs from business realignment, cost containment, and productivity improvement programs; the potential impact of adopting new accounting pronouncements; and the adequacy of accruals. Forward-looking statements by their nature address matters that are, to different degrees, uncertain, and often contain words such as “outlook,” “target,” “aim,” “believes,” “expects,” “anticipates,” “intends,” “assumes,” “estimates,” “evaluates,” “may,” “will,” “should,” “could,” “opinions,” “forecasts,” “projects,” “plans,” “future,” “forward,” “potential,” “probable,” and similar expressions. However, the absence of these words or similar expressions does not mean that a statement is not forward-looking.

We may make other forward-looking statements from time to time, including in reports filed with the Securities and Exchange Commission, press releases, presentations, and on public conference calls. All forward-looking statements we make are based on information available to us at the time the statements are made, and we assume no obligation to update any forward-looking statements, except as may be required by law. Our business is subject to the effects of changes in domestic and global economic conditions and a number of other risks and uncertainties that could cause actual results to differ materially from those included in, or implied by, such forward-looking statements. Some of these risks and uncertainties are discussed in “Item 1A. Risk Factors” of Part I of our most recent Annual Report on Form 10-K. Examples of these risks include: potential environmental cleanup costs related to the Portland Harbor Superfund site or other locations; the impact of equipment upgrades, equipment failures, and facility damage on production; failure to realize or delays in realizing expected benefits from capital and other projects, including investments in processing and manufacturing technology improvements and information technology systems; the cyclicity and impact of general economic conditions; the impact of inflation and interest rate and foreign currency fluctuations; changing conditions in global markets including the impact of sanctions and tariffs, quotas, and other trade actions and import restrictions; increases in the relative value of the U.S. dollar; economic and geopolitical instability including as a result of military conflict; volatile supply and demand conditions affecting prices and volumes in the markets for raw materials and other inputs we purchase; significant decreases in recycled metal prices; imbalances in supply and demand conditions in the global steel industry; difficulties associated with acquisitions and integration of acquired businesses; supply chain disruptions; reliance on third-party shipping companies, including with respect to freight rates and the availability of transportation; restrictions on our business and financial covenants under the agreement governing our bank credit facilities; potential limitations on our ability to access capital resources and existing credit facilities; the impact of impairment of goodwill and assets other than goodwill; the impact of pandemics, epidemics, or other public health emergencies; inability to achieve or sustain the benefits from productivity, cost savings, and restructuring initiatives; inability to renew facility leases; customer fulfillment of their contractual obligations; the impact of consolidation in the steel industry; product liability claims; the impact of legal proceedings and legal compliance; the impact of climate change; the impact of not realizing deferred tax assets; the impact of tax increases and changes in tax rules; the impact of one or more cybersecurity incidents; the impact of increasing attention to environmental, social, and governance matters; translation risks associated with fluctuation in foreign exchange rates; the impact of hedging transactions; inability to obtain or renew business licenses and permits; environmental compliance costs and potential environmental liabilities; increased environmental regulations and enforcement; compliance with climate change and greenhouse gas emission laws and regulations; the impact of labor shortages or increased labor costs; reliance on employees subject to collective bargaining agreements; and the impact of the underfunded status of multiemployer plans in which we participate.

Agenda



I. Review of First Quarter Fiscal 2025

First Quarter Fiscal 2025 Highlights – Slide 4

II. Market Dynamics

Market Dynamics– Slide 5

III. Strategic Pillars

Our Strategic Initiatives Are Delivering Results – Slide 6

IV. Performance Trends

Recycled Metals Market Dynamics – Slides 7 & 8

Finished Steel Market Dynamics – Slide 9

Balance Sheet & Capital Allocation – Slide 10

V. Conclusion

Recycling Today for a Sustainable Tomorrow – Slide 11

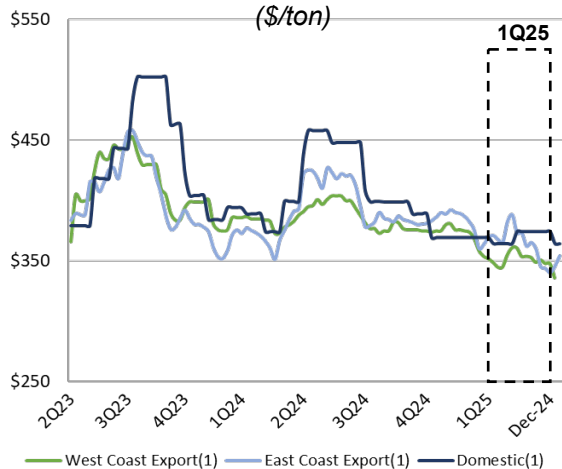
First Quarter Fiscal 2025 Highlights

Financial and Operating Performance

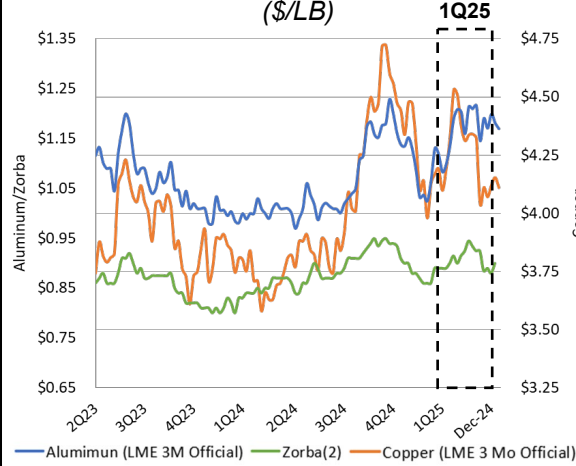
- **While market conditions during the quarter were more challenging than a year ago, our year-over-year consolidated operating results remained stable**
 - Contribution from recycled metals business improved versus a year ago
 - Driven by benefits realized from cost reduction and productivity measures and stronger nonferrous demand, which more than offset tight scrap availability and softer global ferrous markets
 - Contribution from finished steel declined YoY, with average net selling prices down 7% leading to margin compression, due to weaker domestic steel conditions and a scheduled maintenance outage
 - Our steel mill utilization of 81%, while down sequentially, was still higher than the U.S. average of 75%, reflecting relatively stronger markets for long products
 - Cost saving initiatives helped drive 6% YoY reduction in adjusted SG&A expense
- **Continued progress on deployment of metal recovery technology investments**
 - Completed construction and started ramp-up of second major copper recovery system in Dec. '24
- **Operating cash flow nearly break-even**
 - Expect net proceeds of ~\$35 million in 2H25 from asset monetization activities
- **Returned capital to shareholders through 123rd consecutive quarterly dividend**

Market Dynamics

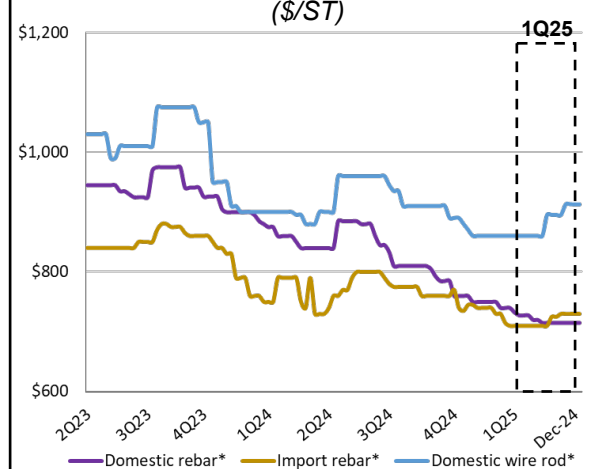
Ferrous Market Selling Price Trends



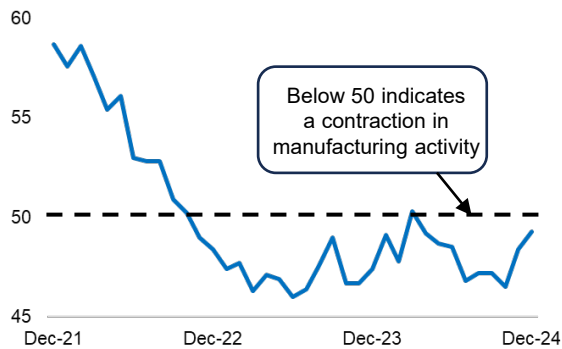
Nonferrous Market Selling Price Trends



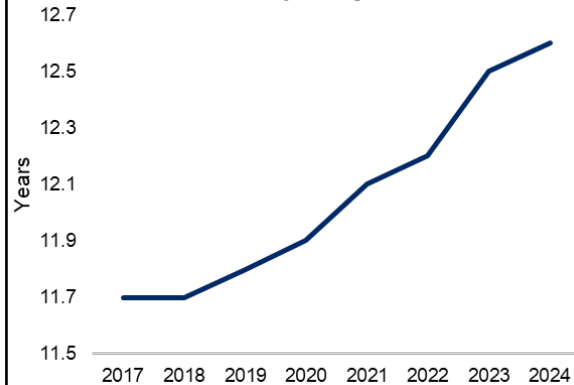
Rebar & Wire Rod Market Price Trends



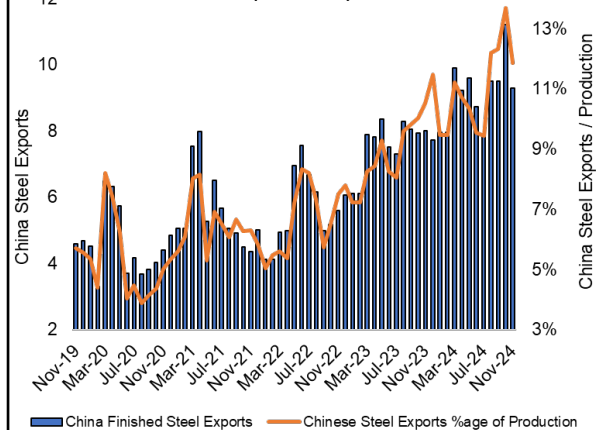
U.S. Manufacturing PMI® in contractionary territory for 25 of last 26 months



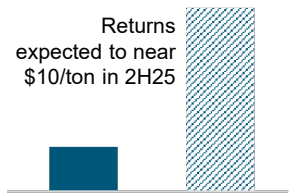
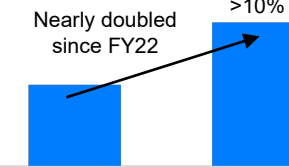
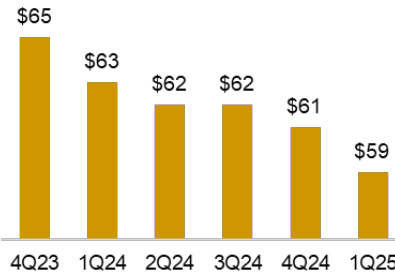
Average vehicle life highest on record, leading to fewer cars available for recycling



Chinese Global Finished Steel Exports



Our Strategic Initiatives Are Delivering Results

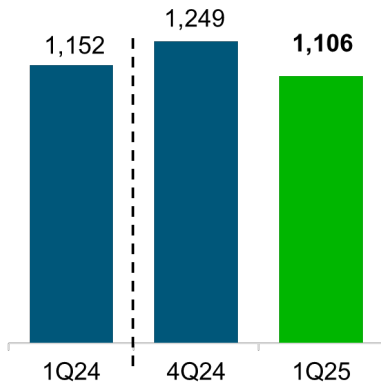
Structural Tailwinds		Strategic Initiatives	Expected Financial Contribution	Progress
 Increased metal intensity of lower carbon-based technologies		Deploy Advanced Metal Recovery Technology	→ Operating run-rate benefits of ~\$10 EBITDA per ferrous ton or over \$40 million^(1,2) per year once fully deployed	Operating Run-Rate Benefits  Returns expected to near \$10/ton in 2H25 FY24 FY26e
 Shortage of critical materials		Expand Recycling Services & Product Offerings	→ Asset-light nature of recycling services provides growth opportunities at attractive returns	Recycling Services %age of Recycled Metals Volumes  Nearly doubled since FY22 >10% FY22 FY24
 EAF steelmaking growth		Implement Cost Reduction & Productivity Initiatives	→ Expect net proceeds from asset monetization activities of \$35 million in 2H25 (consolidate or reposition business activity and unlock associated real estate value)	Adjusted SG&A (\$M)  4Q23 1Q24 2Q24 3Q24 4Q24 1Q25
 Domestic infrastructure investments				
 Decarbonization				

6

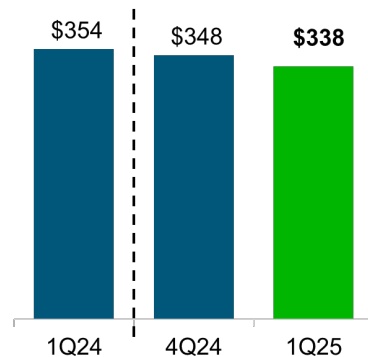
(1) Based on FY24 ferrous volumes
 (2) The timeline and achievement of expected benefits are subject to risks and uncertainties, including permit issuance, construction and equipment lead times, and system design and performance

1Q25 Ferrous Market Dynamics

Radius Volume Trends
(000 LTs)



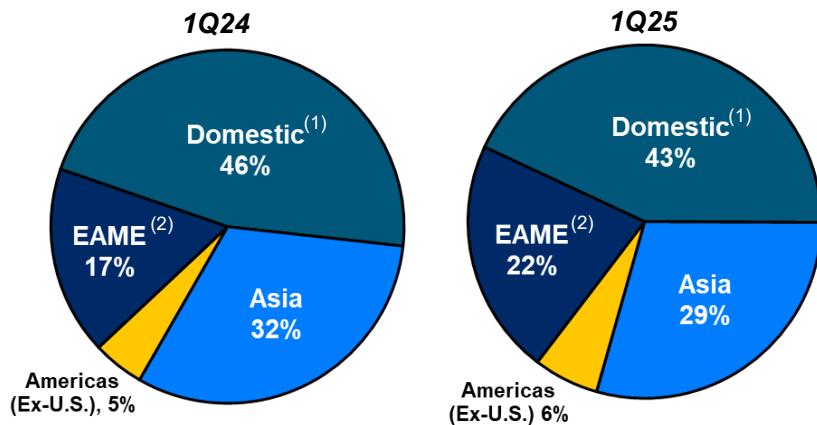
Radius Average Selling Price Trends
(\$/LT, net of freight)



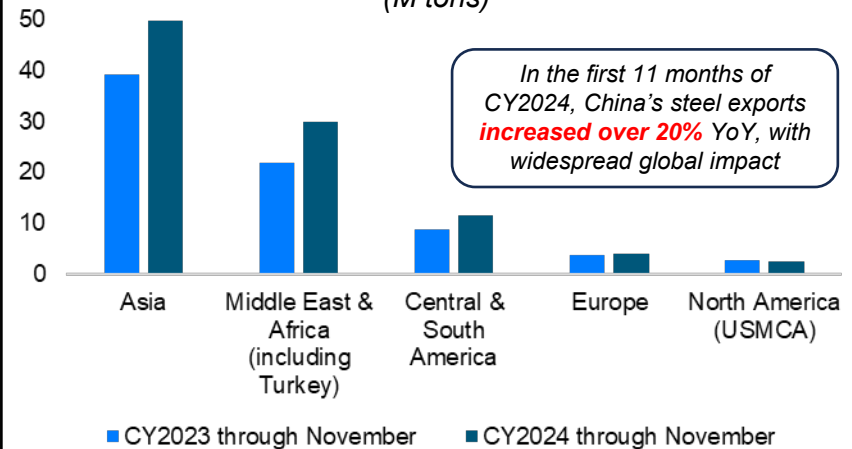
Ferrous sales volumes down 4% YoY, primarily driven by the timing of shipments

- ✓ Continued tightness in scrap flows in 1Q25
- ✓ Average net selling prices were 5% lower YoY, reflecting softer global ferrous markets including the dampening effect of elevated levels of Chinese steel exports
- ✓ Top sales destinations for ferrous exports were Bangladesh, Turkey, and India

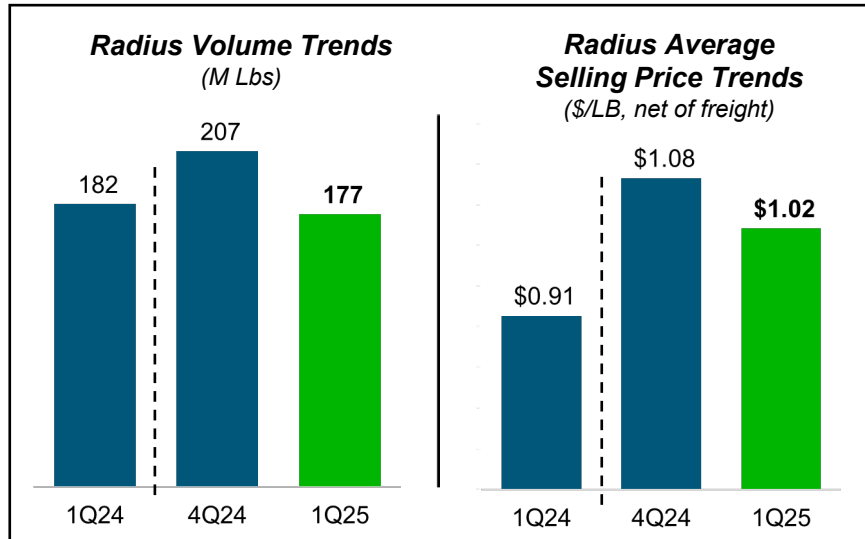
Radius Total Ferrous Volumes by Destination



Chinese Global Finished Steel Exports by Destination
(M tons)



1Q25 Nonferrous Market Dynamics

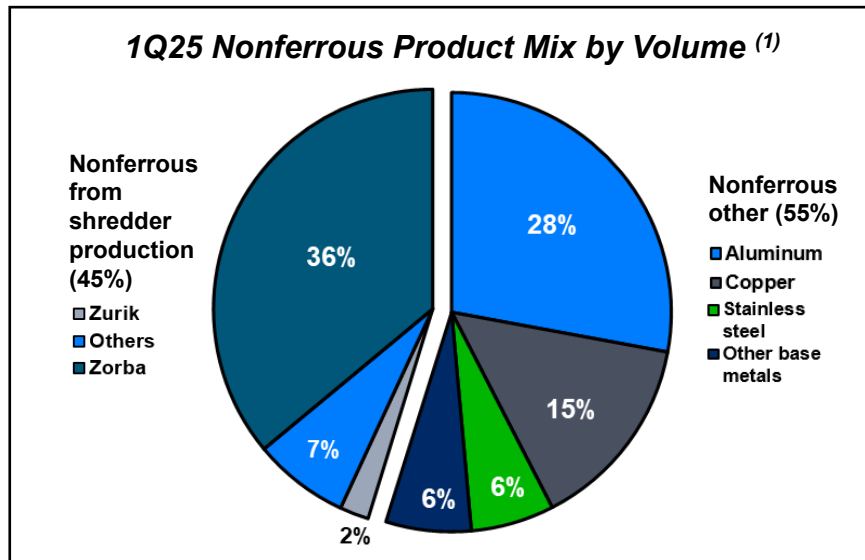


Stronger nonferrous demand led to 12% higher average net selling prices YoY

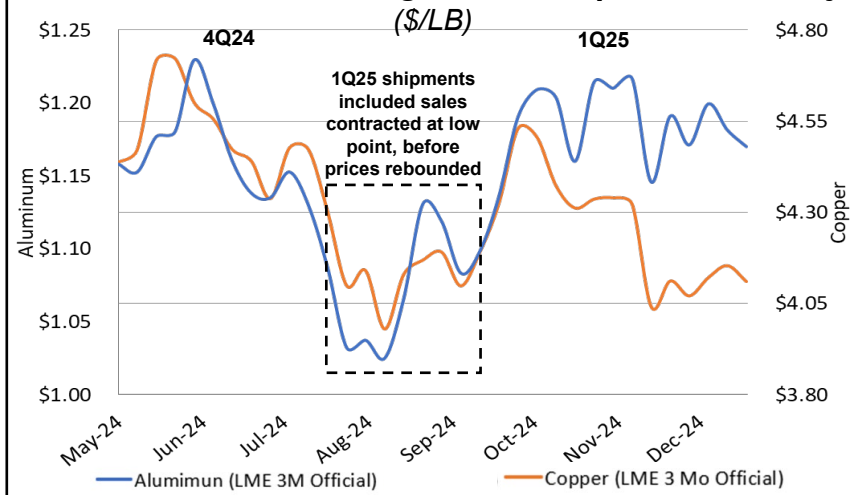
- ✓ Nonferrous sales volumes down slightly YoY on timing of shipments
- ✓ Detriment from price volatility in 1Q25
- ✓ Sold nonferrous products to 13 countries in 1Q25

Deployment of nonferrous technologies

- ✓ Positive contribution in 1Q25, with benefits expected to ramp-up meaningfully in FY25 ⁽²⁾



Nonferrous Market Selling Prices – Impact of Volatility

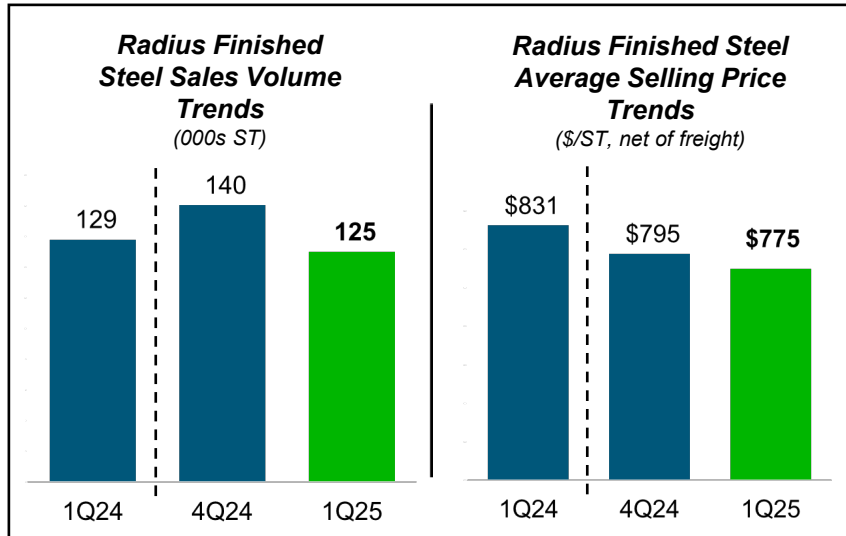


(1) Excludes brokerage activities

(2) The timeline and achievement of expected benefits are subject to risks and uncertainties, including permit issuance, construction and equipment lead times, and system design and performance

Source: Platts

1Q25 Finished Steel Market Dynamics



Softer domestic market does not yet reflect anticipated demand from U.S. infrastructure bill

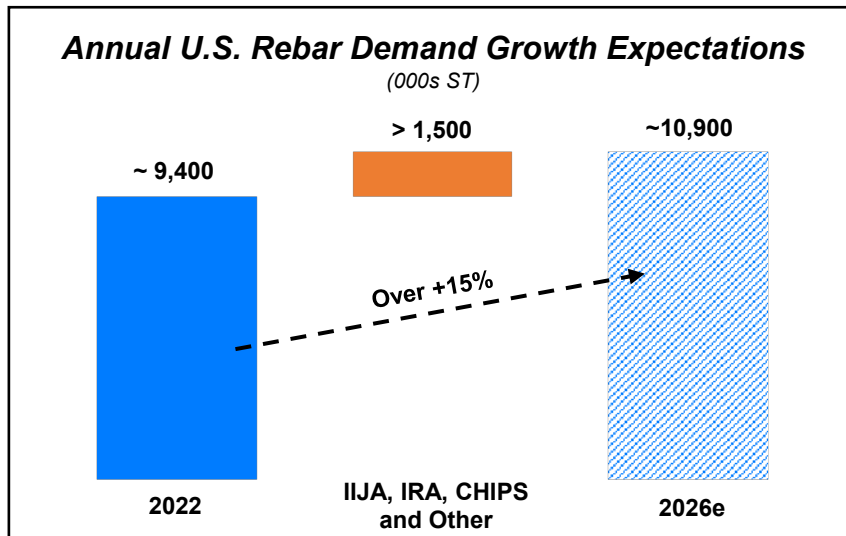
- ✓ Lower average selling prices led to compression in finished steel metal margins YoY
- ✓ Softer market conditions led to 7% decline in average net selling prices YoY

Mill utilization rate of 81% in 1Q25 included impact from scheduled maintenance outage

- ✓ Mill utilization rate higher than total U.S. average for the period of approximately 75%
- ✓ Only independent steel manufacturer in Western U.S.

Sustainable solutions to meet needs of an increasingly metal-intensive economy

- ✓ Our GRN Steel™ line of net-zero carbon emissions products is positioned to meet growing demand

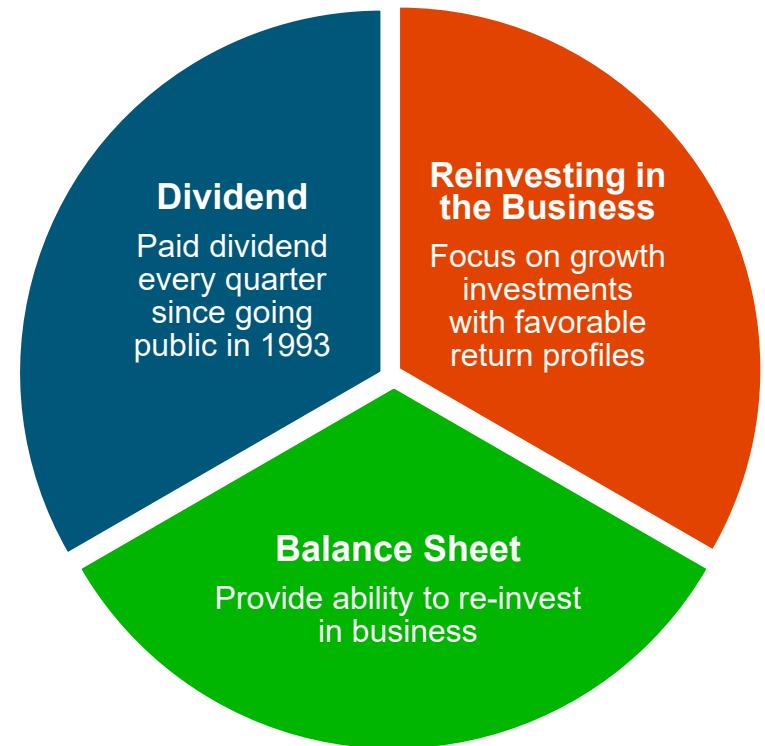


Note: "IIJA" is Infrastructure Investment & Jobs Act, "IRA" is Inflation Reduction Act and "CHIPS" is Creating Helpful Incentives to Produce Semiconductors Act
Source: Company estimates

Balance Sheet & Capital Allocation

- 1Q25 operating cash flow nearly break-even
- Capital expenditures of \$12 million in 1Q25
 - ✓ Project FY25 capital expenditure spend of approximately \$60 million in the context of current performance trends
- \$800M syndicated line of credit maturing in August 2027
 - ✓ Interest cost profile benefits from interest rate cuts by the U.S. Federal Reserve
- 123rd consecutive quarterly dividend in 1Q25

Capital Allocation Priorities



Recycling Today for a Sustainable Tomorrow

FY24 Sustainability Report Highlights

- 16% year-over-year reduction in our total case incident rate and almost 90% of our facilities had no lost time incidents
- Achieved second-best safety results in our Company's history
- Achieved 30% reduction in Scope 1 and 2 emissions at our recycling operations versus 2019 baseline
- Maintained 100% net carbon-free electricity usage for fourth consecutive year
- Donated more than 1,300 employee volunteer hours across 23 states

Our Fiscal 2024 Sustainability Report can be found [here](#)



Q&A

Appendix

Non-GAAP Financial Measures

This presentation contains performance based on adjusted net income (loss) from continuing operations attributable to Radius shareholders, adjusted diluted earnings (loss) per share from continuing operations attributable to Radius shareholders, debt, net of cash, net leverage ratio, adjusted EBITDA, adjusted EBITDA per ferrous ton, adjusted EBITDA excluding estimated average inventory accounting impact per ferrous ton, and adjusted selling, general, and administrative expense which are non-GAAP financial measures as defined under SEC rules. As required by SEC rules, the Company has provided a reconciliation of these measures for each period discussed to the most directly comparable U.S. GAAP measure. Management believes that providing these non-GAAP financial measures adds a meaningful presentation of our results from business operations excluding adjustments for goodwill impairment charges, restructuring charges and other exit-related activities, charges for legacy environmental matters (net of recoveries), amortization of capitalized cloud computing implementation costs, other asset impairment charges, business development costs not related to ongoing operations including pre-acquisition expenses, and the income tax benefit allocated to these adjustments, items which are not related to underlying business operational performance, and improves the period-to-period comparability of our results from business operations. We believe that presenting debt, net of cash is useful to investors as a measure of our leverage, as cash and cash equivalents can be used, among other things, to repay indebtedness. These non-GAAP financial measures should be considered in addition to, but not as a substitute for, the most directly comparable U.S. GAAP measures.

Further, management believes that:

Adjusted EBITDA is a useful measure of the Company's financial performance and liquidity;

Net Debt (debt, net of cash) to Adjusted EBITDA Ratio is a useful measures of the Company's liquidity;

Adjusted EBITDA per ferrous ton; and

Adjusted EBITDA excluding estimated average inventory accounting impact per ferrous ton is a useful indicator of the Company's financial performance.

These non-GAAP financial measures should be considered in addition to, but not as a substitute for, the most directly comparable U.S. GAAP measures.

Non-GAAP Financial Measures

The following is a reconciliation of each of these measures to the most directly comparable U.S. GAAP measure:

Adjusted Net Income (Loss) from Continuing Operations Attributable to Radius shareholders (\$ in thousands)	Quarter									Fiscal Year	
	1Q25	4Q24	3Q24	2Q24	1Q24	4Q23	3Q23	2Q23	1Q23	2024	2023
As reported	\$ (37,173)	\$ (16,056)	\$ (198,369)	\$ (33,948)	\$ (17,962)	\$ (25,785)	\$ 13,693	\$ 4,129	\$ (17,719)	\$ (266,335)	\$ (25,682)
Restructuring charges and other exit-related activities	1,897	244	3,275	3,175	35	141	169	828	1,592	6,729	2,730
Charges (recoveries) for legacy environmental matters, net ⁽¹⁾	(2,084)	356	304	156	323	3,847	5,167	77	1,279	1,139	10,370
Other asset impairment charges, net ⁽²⁾	184	12	73	1,748	219	5,797	1,455	—	4,000	2,052	11,252
Business development costs	10	39	55	140	90	23	71	103	235	324	432
Goodwill impairment charges	—	—	215,941	—	—	39,270	—	—	—	215,941	39,270
Income tax (benefit) expense allocated to adjustments ⁽³⁾	(935)	3,842	(38,204)	(938)	(737)	(9,891)	(1,324)	(1,151)	(1,714)	(36,038)	(14,080)
Adjusted	\$ (38,101)	\$ (11,563)	\$ (16,925)	\$ (29,667)	\$ (18,032)	\$ 13,402	\$ 19,231	\$ 3,986	\$ (12,327)	\$ (76,188)	\$ 24,292

Adjusted Diluted Earnings (Loss) Per Share from Continuing Operations Attributable to Radius Shareholders (\$ per share)	Quarter									Fiscal Year ⁽⁶⁾	
	1Q25	4Q24	3Q24	2Q24	1Q24	4Q23	3Q23	2Q23	1Q23	2024	2023
As reported	\$ (1.30)	\$ (0.56)	\$ (6.97)	\$ (1.19)	\$ (0.64)	\$ (0.92)	\$ 0.48	\$ 0.14	\$ (0.64)	\$ (9.37)	\$ (0.92)
Restructuring charges and other exit-related activities, per share	0.07	—	0.11	0.11	—	—	0.01	0.03	0.06	0.24	0.10
Charges (recoveries) for legacy environmental matters, net, per share ⁽¹⁾	(0.07)	0.01	0.01	0.01	0.01	0.14	0.18	—	0.05	0.04	0.37
Other asset impairment charges, net, per share ⁽²⁾	—	—	—	0.06	0.01	0.21	0.05	—	0.14	0.07	0.40
Business development costs, per share	—	—	—	—	—	—	—	—	0.01	0.01	0.02
Goodwill impairment charges, per share	—	—	7.58	—	—	1.40	—	—	—	7.60	1.40
Income tax (benefit) expense allocated to adjustments, per share ⁽³⁾	(0.03)	0.13	(1.34)	(0.03)	(0.03)	(0.35)	(0.05)	(0.04)	(0.06)	(1.27)	(0.50)
Effect of dilutive shares, per share ⁽⁴⁾	—	—	—	—	—	(0.01)	—	—	—	—	(0.02)
Adjusted ⁽⁵⁾	\$ (1.33)	\$ (0.41)	\$ (0.59)	\$ (1.04)	\$ (0.64)	\$ 0.47	\$ 0.67	\$ 0.14	\$ (0.44)	\$ (2.68)	\$ 0.85

(1) Legal and environmental charges, net of recoveries, for legacy environmental matters including those related to the Portland Harbor Superfund site and to other legacy environmental loss contingencies.

(2) For the fiscal year ended August 31, 2023, other asset impairment charges included \$5 million (\$0.19 per share before income tax) of impairment and other adjustments of an equity investment to fair value reported within "Other expense, net" on the Consolidated Statement of Operations. The fiscal year charges included \$4 million (\$0.14 per share before taxes) and \$1 million (\$0.05 per share before taxes) in the first quarter and third quarter, respectively. Other adjustments and impairments of the equity investment, if any, were less than \$1 million in the other periods presented.

(3) Income tax allocated to the aggregate adjustments reconciling reported and adjusted income (loss) from continuing operations attributable to Radius shareholders and diluted earnings (loss) per share from continuing operations attributable to Radius shareholders is determined based on a tax provision calculated with and without the adjustments.

(4) For the quarter and year ended August 31, 2023, adjusted diluted loss per share from continuing operations attributable to Radius shareholders reflects the inclusion of an incremental 652 thousand common stock equivalent shares attributable to dilutive restricted stock unit, performance share, and deferred stock unit awards that were antidilutive for the purpose of calculating the comparable GAAP loss per share measure.

(5) May not foot due to rounding.

(6) The sum of quarterly amounts may not agree to full year equivalent due to rounding.

Non-GAAP Financial Measures

Net Leverage Ratio

- Net Debt (Debt, net of cash) is the difference between (i) the sum of long-term debt and short-term debt (i.e., total debt) and (ii) cash and cash equivalents.
- Net Capital is the difference between (i) the sum of total equity and total debt (i.e., total capital) and (ii) cash and cash equivalents.
- The net leverage ratio is the ratio of Net Debt to Net Capital, expressed as a percentage.
- The following is a reconciliation of the Net Leverage Ratio:

Net Leverage Ratio		Quarter								
(\$ in millions)		1Q25	4Q24	3Q24	2Q24	1Q24	4Q23	3Q23	2Q23	1Q23
Total Debt		\$ 445	\$ 415	\$ 411	\$ 374	\$ 284	\$ 249	\$ 351	\$ 310	\$ 358
	Less cash and cash equivalents	(15)	(6)	(25)	(14)	(4)	(6)	(5)	(11)	(4)
Net Debt ⁽¹⁾		\$ 430	\$ 409	\$ 386	\$ 360	\$ 280	\$ 243	\$ 346	\$ 299	\$ 354
Total Debt		\$ 445	\$ 415	\$ 411	\$ 374	\$ 284	\$ 249	\$ 351	\$ 310	\$ 358
Total Equity		583	626	646	847	884	912	940	928	929
Total Capital		\$ 1,028	\$ 1,041	\$ 1,057	\$ 1,221	\$ 1,168	\$ 1,161	\$ 1,290	\$ 1,239	\$ 1,286
	Less cash and cash equivalents	(15)	(6)	(25)	(14)	(4)	(6)	(5)	(11)	(4)
Net Capital ⁽¹⁾		\$ 1,013	\$ 1,035	\$ 1,032	\$ 1,207	\$ 1,164	\$ 1,155	\$ 1,286	\$ 1,227	\$ 1,283
Total Debt to Total		43.3 %	39.9 %	38.9 %	30.6 %	24.3 %	21.5 %	27.2 %	25.0 %	27.8 %
	Impact excluding cash and cash equivalents from both Total Debt and Total Capital	(0.9)%	(0.3)%	(1.5)%	(0.8)%	(0.3)%	(0.4)%	(0.3)%	(0.7)%	(0.2)%
Net Leverage Ratio ⁽¹⁾		42.5 %	39.5 %	37.4 %	29.8 %	24.0 %	21.1 %	26.9 %	24.3 %	27.6 %

⁽¹⁾ May not foot due to rounding.

Non-GAAP Financial Measures

Adjusted EBITDA and Adjusted EBITDA Per Ferrous Ton

Adjusted EBITDA – Earnings before interest, taxes, depreciation, amortization, adjustments for restructuring charges and other exit-related activities, asset impairment charges, amortization of capitalized cloud computing implementation costs, charges for legacy environmental matters (net of recoveries), business development costs not related to ongoing operations including pre-acquisition expenses, goodwill impairment charges, and charges related to legal settlements, among others.

The following is a reconciliation of net income (loss) to adjusted EBITDA, adjusted EBITDA per ferrous ton sold and adjusted EBITDA excluding estimated average inventory accounting impact per ferrous ton sold:

Adjusted EBITDA (\$ in thousands)	1Q25	4Q24	3Q24	2Q24	Quarter 1Q24	4Q23	3Q23	2Q23	1Q23
Net income (loss)	\$ (36,929)	\$ (15,904)	\$ (198,511)	\$ (34,010)	\$ (17,799)	\$ (25,762)	\$ 13,608	\$ 4,272	\$ (17,556)
Plus (income) loss from discontinued operations, net of tax	—	22	21	31	2	31	233	(224)	69
Plus interest expense	8,862	8,917	7,368	5,803	4,810	5,211	5,146	4,908	3,324
Plus tax expense (benefit)	3,791	(1,759)	(44,551)	1,195	(10,170)	(3,423)	7,221	(513)	(6,032)
Plus depreciation & amortization	24,034	24,574	24,406	24,311	23,471	23,370	22,540	22,399	21,451
Plus restructuring charges and other exit-related activities	1,897	244	3,275	3,175	35	141	169	828	1,592
Plus charges (recoveries) for legacy environmental matters, net ⁽¹⁾	(2,084)	356	304	156	323	3,847	5,167	77	1,279
Plus amortization of cloud computing software costs ⁽²⁾	263	295	237	247	80	—	—	—	—
Plus other asset impairment charges, net ⁽³⁾	184	12	73	1,748	219	5,797	1,455	—	4,000
Plus business development costs	10	39	55	140	90	23	71	103	235
Plus goodwill impairment charge	—	—	215,941	—	—	39,270	—	—	—
Adjusted EBITDA	\$ 28	\$ 16,796	\$ 8,618	\$ 2,796	\$ 1,061	\$ 48,505	\$ 55,610	\$ 31,850	\$ 8,362
Estimated average inventory accounting impact	(992)	(1,745)	(3,533)	3,824	(1,017)	(5,084)	1,981	9,926	(1,595)
Adjusted EBITDA excluding estimated average inventory accounting	\$ 1,020	\$ 18,541	\$ 12,151	\$ (1,028)	\$ 2,078	\$ 53,589	\$ 53,629	\$ 21,924	\$ 9,957
Total Ferrous Volumes (LT, in thousands)	1,106	1,249	1,112	980	1,152	1,105	1,157	1,263	851
Adjusted EBITDA per Ferrous Ton Sold (\$/LT)	0	13	8	3	1	44	48	25	10
Adjusted EBITDA excluding estimated average inventory accounting per Ferrous Ton Sold (\$/LT)	1	15	11	(1)	2	48	46	17	12

(1) Legal and environmental charges, net of recoveries, for legacy environmental matters including those related to the Portland Harbor Superfund site and to other legacy environmental loss contingencies.

(2) Amortization of cloud computing software costs consists of expense recognized in cost of goods sold and selling, general, and administrative expense resulting from amortization of capitalized implementation costs for cloud computing IT systems. This expense is not included in depreciation and amortization. No amortization of cloud computing software costs was incurred prior to the first quarter of fiscal 2024; therefore, prior period Adjusted EBITDA amounts are not impacted.

(3) For the fiscal year ended August 31, 2023, other asset impairment charges included \$5 million (\$0.19 per share before income tax) of impairment and other adjustments of an equity investment to fair value reported within "Other expense, net" on the Consolidated Statement of Operations. The fiscal year charges included \$4 million (\$0.14 per share before taxes) and \$1 million (\$0.05 per share before taxes) in the first quarter and third quarter, respectively. Other adjustments and impairments of the equity investment, if any, were less than \$1 million in the other periods presented.

Non-GAAP Financial Measures

Net Debt to Adjusted EBITDA Ratio

The following is a reconciliation of cash flows from operating activities to adjusted EBITDA; debt to net debt (debt, net of cash); the debt to cash flows from operating activities ratio; and the net debt to adjusted EBITDA ratio:

Net Debt to Adjusted EBITDA Ratio (\$ in thousands)	LFQ					Fiscal Year					
	1Q25	2024	2023	2022	2021	2020	2019	2018	2017	2016	
Cash flows from operating activities	\$ (54,019)	\$ (53,413)	\$ 139,362	\$ 237,676	\$ 190,064	\$ 124,597	\$ 144,740	\$ 159,676	\$ 100,370	\$ 99,240	
Write-off of debt issuance costs	—	—	—	—	—	—	—	—	—	(768)	
Inventory write-down	(92)	—	(575)	(3,199)	—	—	(775)	(38)	—	(710)	
Deferred income taxes	35,874	50,013	3,934	(25,052)	(6,884)	(15,096)	(14,613)	37,995	(2,278)	(507)	
Undistributed equity in earnings of joint ventures	1,175	1,400	2,090	2,740	4,006	834	1,452	1,953	3,674	819	
Share-based compensation expense	(9,672)	(8,602)	(11,186)	(18,517)	(18,213)	(10,033)	(17,300)	(18,965)	(10,847)	(10,437)	
Gain (loss) on disposal of assets	(380)	327	324	(824)	(717)	(530)	1,545	(56)	(448)	465	
Other (gain) loss, net	(464)	(818)	(301)	(78)	(127)	(904)	(171)	1,104	46	(1,681)	
Changes in current assets and current liabilities	51,660	52,569	(20,422)	42,047	72,200	(34,312)	(1,256)	33,758	10,540	(19,448)	
Changes in other operating assets and liabilities	5,847	7,055	1,618	13,826	(11,755)	(2,854)	(1,901)	(6,987)	(4,958)	(405)	
Interest expense	30,950	26,898	18,589	8,538	5,285	8,669	8,266	8,983	8,081	8,889	
Tax expense (benefit)	(41,324)	(55,285)	(2,747)	44,597	37,935	166	17,670	(17,590)	1,322	735	
Restructuring charges (recoveries) and other exit-related activities	8,591	6,729	2,730	77	1,008	8,993	365	(661)	(109)	6,782	
Charges (recoveries) for legacy environmental matters, net ⁽¹⁾	(1,268)	1,139	10,370	7,518	13,773	4,097	2,419	7,268	2,648	(3,863)	
Amortization of cloud computing software costs ⁽²⁾	1,042	859	—	—	—	—	—	—	—	—	
Business development costs	244	324	432	2,693	2,155	1,619	—	—	—	—	
(Gain) loss from discontinued operations, net of tax	74	76	109	83	79	95	248	(346)	390	1,348	
Charges related to legal settlements ⁽³⁾	—	—	—	590	400	73	2,330	—	—	—	
Charges (recoveries) related to the resale or modification of previously contracted shipments	—	—	—	—	—	—	—	(417)	(1,144)	(694)	
Adjusted EBITDA	\$ 28,238	\$ 29,271	\$ 144,327	\$ 312,715	\$ 289,209	\$ 85,414	\$ 143,019	\$ 205,677	\$ 107,287	\$ 79,765	
Total Ferrous Volumes (LT, in thousands)	4,447	4,493	4,376	4,616	4,408	3,954	4,319	4,299	3,628	3,289	
Adjusted EBITDA per Ferrous Ton Sold (\$/LT)	\$ 6	\$ 7	\$ 33	\$ 68	\$ 66	\$ 22	\$ 33	\$ 48	\$ 30	\$ 24	
Debt	445,445	414,770	249,392	248,562	74,953	104,419	105,096	107,376	145,124	192,518	
Cash and cash equivalents	(15,223)	(5,552)	(6,032)	(43,803)	(27,818)	(17,887)	(12,377)	(4,723)	(7,287)	(26,819)	
Net debt	\$ 430,222	\$ 409,218	\$ 243,360	\$ 204,759	\$ 47,135	\$ 86,532	\$ 92,719	\$ 102,653	\$ 137,837	\$ 165,699	
Debt to cash flows from operating activities ratio	(8.2)	(7.8)	1.8	1.0	0.4	0.8	0.7	0.7	1.4	1.9	
Net debt to adjusted EBITDA ratio	15.2	14.0	1.7	0.7	0.2	1.0	0.6	0.5	1.3	2.1	

(1) Legal and environmental charges, net of recoveries, for legacy environmental matters including those related to the Portland Harbor Superfund site and to other legacy environmental loss contingencies.

(2) Amortization of cloud computing software costs consists of expense recognized in cost of goods sold and selling, general, and administrative expense resulting from amortization of capitalized implementation costs for cloud computing IT systems. This expense is not included in depreciation and amortization. No amortization of cloud computing software costs was incurred prior to the first quarter of fiscal 2024; therefore, prior period Adjusted EBITDA amounts are not impacted.

(3) Charges related to legal settlements in fiscal 2022 and fiscal 2021 relate to a claim by a utility provider for past charges, and in fiscal 2020 and fiscal 2019 relate to the settlement of a wage and hour class action lawsuit.

Non-GAAP Financial Measures

Adjusted Selling, General and Administrative Expense

The following is a reconciliation of adjusted selling, general and administrative expense to the comparable U.S. GAAP measure:

Adjusted Selling, General and Administrative Expense (\$ in thousands)	Quarter										Fiscal Year	
	1Q25	4Q24	3Q24	2Q24	1Q24	4Q23	3Q23	2Q23	1Q23		2024	2023
As reported	\$ 56,684	\$ 60,974	\$ 62,100	\$ 62,160	\$ 63,102	\$ 69,217	\$ 68,527	\$ 63,957	\$ 64,228		\$ 248,336	\$ 265,929
(Charges) recoveries for legacy environmental matters, net ⁽¹⁾	2,084	(356)	(304)	(156)	(323)	(3,847)	(5,167)	(77)	(1,279)		(1,139)	(10,370)
Business development costs	(10)	(39)	(55)	(140)	(90)	(23)	(71)	(103)	(235)		(324)	(432)
Adjusted	\$ 58,758	\$ 60,579	\$ 61,741	\$ 61,864	\$ 62,689	\$ 65,347	\$ 63,289	\$ 63,777	\$ 62,714		\$ 246,873	\$ 255,127

(1) Legal and environmental charges, net of recoveries, for legacy environmental matters including those related to the Portland Harbor Superfund site and to other legacy environmental loss contingencies.

Historical Segment Operating Statistics

The following provides consolidated operating statistics:

	1Q25	4Q24	Quarter 3Q24	2Q24	1Q24	Fiscal Year ⁽¹⁾ 2024	2023
Ferrous volumes (LT, in thousands)⁽²⁾							
Domestic	477	504	528	483	535	2,051	1,952
Export	629	744	584	497	617	2,442	2,424
Total ⁽⁷⁾	1,106	1,249	1,112	980	1,152	4,493	4,376
Ferrous selling prices (\$/LT)⁽³⁾							
Domestic	\$ 331	\$ 323	\$ 341	\$ 391	\$ 342	\$ 349	\$ 360
Export	\$ 340	\$ 356	\$ 354	\$ 381	\$ 359	\$ 361	\$ 376
Average	\$ 338	\$ 348	\$ 350	\$ 384	\$ 354	\$ 358	\$ 371
Nonferrous volumes (pounds, in thousands)⁽²⁾⁽⁴⁾	177,255	206,743	183,230	176,477	181,728	748,178	738,937
Nonferrous average price (\$/pound)⁽³⁾⁽⁴⁾	\$ 1.02	\$ 1.08	\$ 1.04	\$ 0.94	\$ 0.91	\$ 1.00	\$ 0.96
Cars purchased (in thousands)⁽⁵⁾	56	63	64	67	64	258	286
Auto part stores at period end	50	50	50	50	50	50	50
Finished steel average sales price (\$/ST)⁽³⁾	\$ 775	\$ 795	\$ 817	\$ 832	\$ 831	\$ 818	\$ 930
Sales volume (ST, in thousands)							
Rebar	85	96	83	83	94	357	390
Coiled products	39	43	42	30	34	148	126
Merchant bar and other	1	1	1	1	1	4	5
Finished steel products sold	125	140	126	114	129	509	521
Rolling mill utilization⁽⁶⁾	81%	97%	88%	81%	95%	90%	89%

Tons for recycled ferrous metal are LT (Long Ton, which is equivalent to 2,240 pounds) and for finished steel products are ST (Short Ton, which is equivalent to 2,000

(1) The sum of quarterly amounts may not agree to full year equivalent due to rounding.

(2) Ferrous and nonferrous volumes sold externally and delivered to our steel mill for finished steel production.

(3) Price information is shown after netting the cost of freight incurred to deliver the product to the customer.

(4) Excludes platinum group metals ("PGMs") in catalytic converters.

(5) Cars purchased by auto stores only.

(6) Rolling mill utilization is based on effective annual production capacity under current conditions of 580 thousand tons of finished steel products.

(7) May not foot due to rounding.